



Fed Policy, Interest Rates and Borrowing Costs

Ensure your business-borrowing strategy aligns with your long-term goals

With the Federal Reserve holding rates steady and signaling a gradual easing cycle in 2026, the implications for business borrowing and capital structure are significant. Executives must now rethink how they finance growth, manage debt, and position for future refinancing.

Stable Rates: A Window of Opportunity

The Fed's recent communications suggest a "higher for longer" posture may soon give way to modest cuts as inflation stabilizes. For businesses with borrowing needs – especially those considering expansion, acquisitions, or refinancing – this creates a timely window.

If your business has floating-rate debt or upcoming maturities, now is the time to explore refinancing or locking in fixed-rate instruments. Even modest reductions in rates can meaningfully improve debt service coverage and free up capital.

Optimizing Corporate Capital Structure

Stable (and potentially falling) rates may also change your optimal mix of debt vs. equity. Businesses that leaned heavily on equity during the high-rate period may benefit from rebalancing toward leverage, particularly if operating cash flows are stable.

However, leverage decisions must be made in context. Higher interest costs in recent years exposed businesses with weak balance sheets.

Use this environment to evaluate your risk tolerance, industry dynamics, and EBITDA resilience before loading up on debt.

Access to Credit: Tight but Selective

While rates may ease, credit conditions remain tight. Lenders are scrutinizing business models, cash flows, and sector risk more carefully than in the past. Expect stricter covenants, more documentation, and less tolerance for speculative ventures.

Small and mid-sized businesses should explore alternative lending sources – including private credit, SBA loans, and regional banks. Maintaining strong banking relationships and clean financial statements will be key to accessing attractive capital.

Final Thoughts

This rate environment offers both risk and reward. With careful planning, businesses can take advantage of improved borrowing conditions, optimize their capital stack, and unlock new growth pathways. A financial advisor can help stress-test assumptions, model refinancing scenarios, and ensure your borrowing strategy aligns with your long-term goals.

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